RBI Assets Suffer No Real Valuation or Market Risk

RBI defines market risk related to assets it holds in terms of likelihood of their rupee value depreciating. Depreciation in value of three principal assets—rupee securities, foreign securities and gold—is the valuation risk for RBI. At the end of September 2020, the largest assets were foreign securities at approximately $500 billion (about Rs 37 lakh crore). Rupee securities came in second at about Rs 12 lakh crore, followed by gold at about Rs 2.75 lakh crore.

Market risk related to foreign currency assets of RBI is defined in terms of the rupee value depreciating. The rupee value of dollar assets depreciates when the rupee appreciates. Therefore, if RBI expects the rupee to appreciate, it would be required to hold provisions for foreign securities. The ECF requires RBI to hold large provisions to cover this risk. It might seem strange that while strengthening of the rupee vis-à-vis foreign currency indicates a stronger nation, for RBI it is a loss of valuation.

Market risk related to the government securities RBI holds is more conventional. Whenever the interest rate of government securities goes up, the value of RBI's holding goes down. The reverse occurs when interest rates go down. Setting interest rates in the economy is one of the primary functions of RBI. Normally, it raises interest rates to cool down inflation and such action takes interest rates towards more neutral territory, but the capital framework mandates RBI to hold provisions for interest rate risk until it fixes it.

Gold is held by RBI as a currency reserve asset and also as it is an evergreen and secular standard of value. RBI has never sold gold for rupees; in fact, it buys gold by issuing rupees. RBI's gold is 'held to maturity', which is essentially forever. Yet, the capital framework mandates it to hold provisions for potential loss of gold value in rupee terms.

None of RBI's assets actually suffer any real market or valuation risk.